

Meridia Pharma Group - Group Accounting Manual

Extract: Chapter 7 - Goods receipt, invoice verification and the clearing account

Group Finance - edition 2025 - applies to all consolidated entities, including entities that do not run the group ERP

7.1 Three-way match

A vendor invoice for goods is paid only when purchase order, goods receipt and invoice agree in quantity and price. The only exception is an advance payment agreed in the contract and recorded in the payment terms of the vendor master. Invoices without a purchase order are permitted for services, rent, utilities and similar costs and require the approval of the cost centre owner; they are outside the three-way match.

7.2 Valuation of the goods receipt

A goods receipt is valued at the order price. For orders in a foreign currency the entity uses its booking rate of the posting month. Differences between receipt value and invoice value are shown as price differences or exchange differences in the income statement.

7.3 The clearing account and the reported balance

The clearing account between goods receipt and invoice receipt is credited with the receipt and debited with the invoice. It is analysed per order position at every reporting date. Positions with a credit balance are goods received but not yet invoiced and are reported as an accrued liability in group account 211510 (third parties) or 211520 (group companies). Positions with a debit balance are invoiced but not yet received; they are not netted against the liability. Deliveries from group companies under way are reported as goods in transit, other debit positions as advances to suppliers. The reported figure for goods received not invoiced is therefore the sum of the positions with a credit balance, not the net balance of the account.

7.4 Currency translation

Balance sheet items of an entity are translated into EUR at the closing rate of the reporting month. Income statement items are translated at the booking rate of the month in which they were posted.

7.5 Manual journals on the clearing account

Manual journals on the clearing account are permitted only to clear a difference for which no further document is expected. Every line carries the order number and the order position in the assignment field and the reason in the text, and is approved by a second person. The offsetting account is the price difference account; manual clearings are never posted to inventory or vendor accounts. The limit is EUR 150 per order position. Above the limit a written confirmation of the vendor and the approval of the regional controller are required. An item older than 180 days may not be written off without a written confirmation of the vendor that no invoice will follow.

7.6 Duplicate invoices

The reference of a vendor invoice is entered exactly as printed on the invoice. Before posting, the entity checks vendor, reference, invoice date and amount against invoices already posted.

7.7 Delivery performance

From 1 July 2025 every entity records the confirmed delivery date in each purchase order line. Delivery performance is measured per order line by comparing the date of the vendor's delivery note with the confirmed delivery date. A partial delivery counts with the value delivered. The correction of a receipt by reversal and re-entry does not change the date of delivery.

7.8 Mapping of local accounts

Entities with a local chart of accounts maintain a mapping to the group chart. Every local account that carries postings is mapped to exactly one group account for every day of the reporting period. A change to the mapping takes effect on the first day of a month; periods already reported are not restated.